Business Principles · High exam #3 cram sheet

Unit 2, LPs 2-1 to 2-4: economic concepts, supply and demand, goods and services, GDP. Full guide: valentinoguides.com/bus-unit-2

The three that decide the grade

- **Law of supply and demand**: price up, supply up and demand down. Price down, demand up and supply down. **Equilibrium** is where supply = demand.
- **Trade-off** is the choice. **Opportunity cost** is what you gave up: the loss of potential gain from the option not chosen.
- **GDP** = C + I + G + NX: dollar value, final goods only, inside a country's borders. **Per capita GDP** = GDP ÷ population.

Supply and demand

The box	Price up: supply up, demand down. Price down: demand up, supply down.
Equilibrium	Supply = demand; equilibrium price and quantity are where the curves cross.
Surplus	Supplied > demanded: buyer's market (2008 housing).
Shortage	Demanded > supplied: seller's market (2020 housing).
Elastic	Big change in demand: Pepsi, McDonald's, Isabella's bracelets.
Inelastic	Little or no change: gas, cigarettes, salt.
Capitalism	Privately owned, driven by the profit motive.

GDP

GDP	Total market value of final goods and services, in a period, inside a country's borders.
3 parts	Dollars not quantity; final goods only (no double counting); within borders.
C + I + G + NX	Consumers, business investment, government, exports - imports.
Trade surplus / deficit	Exports > imports / imports > exports.
Durable / nondurable	Lasts 3+ years (car) / used up fast (coffee).
Per capita GDP	GDP ÷ population.
Productivity	Output ÷ input (labor, capital, other resources).
Growth	Expect 2 to 3% a year; the Fed moves interest rates to manage inflation.

Economic concepts

Trade-off	The choice. Opportunity cost: what you gave up.
3 questions	What, how, for whom.
Micro / macro	Individuals and businesses / the economy as a whole.
Scarcity	Wants always exceed resources.

Goods and services

Need vs want	Need: beyond a desire (food, shelter, clothing). Want: a desire.
Good vs service	Both: utility, scarce, transferable. Good is tangible; service is intangible.
End user	Ultimate consumer (us) or industrial user (Ford, Apple). Stores aren't.
Consumer 4	Convenience, shopping, specialty, unsought.
Industrial 5	Materials, parts, capital items, supplies, services.

Traps

- Demand moves opposite to price; supply moves with it. Flipping these is the classic true/false trap.
- Price is the single biggest factor affecting supply and demand.
- Surplus favors buyers; shortage favors sellers. Easy to flip on a true/false.
- Know the three inelastic examples by name: gasoline, cigarettes, salt.
- Elasticity is about the product in general, not the brand: switching cigarette brands doesn't change demand for cigarettes.
- Don't swap them: trade-off = the choice, opportunity cost = the cost of that choice.
- GDP counts dollars, not quantity.
- An iPhone bought in London counts toward England's GDP, even though Apple is American.
- Net exports is exports minus imports, never the other way around. Buying more abroad makes NX negative.
- Divide GDP by population, never population by GDP.
- Same workers + better tools = more output per worker = higher productivity.
- Growth doesn't always mean healthy: a bigger economy doesn't mean everyone benefits.
- Micro is not "small money": it is any one person or business. Macro is the whole economy.
- Basic shelter is a need; a mansion is a want.
- A free sample is not a free good: resources were still used to make it.
- A store that resells (Home Depot, Lowe's) is NOT the end user.
- Farm products can be reproduced; natural products can't (they're finite).
- Capitalism is driven by the profit motive.

Key: GDP = gross domestic product; C = private consumer spending; I = private domestic investment; G = government spending and investment; NX = net exports; the Fed = the Federal Reserve (U.S. central bank).